



1.

The European Union Context Extract E (lines 20–22) states: ‘...it becomes very difficult to further stimulate domestic demand as real interest rates approach zero. On the other hand, low interest rates contributed to the Swedish currency, the Krona, falling sharply in value...’.

Explain the term ‘real interest rates’ **and** analyse why low interest rates may lead to a fall in the value of a currency on the foreign exchange market.

[9 marks]

2.

‘It is better to do everything you can to prevent deflation before it begins, even if there is only a small chance of it occurring.’

Assess the impact on UK macroeconomic performance of a prolonged period of deflation.

[25 marks]

3.

‘It is better to do everything you can to prevent deflation before it begins, even if there is only a small chance of it occurring.’

Explain how monetary policy might be used to prevent a period of deflation.

[15 marks]

4.

The European Union Context Extract D (lines 13–14) argues that it ‘is not difficult to understand why the pound has fallen against the euro and other currencies’.

Explain what is meant by ‘the pound has fallen against the euro and other currencies’ **and** analyse **two** determinants of such a fall.

[9 marks]

5.

An economy which is enjoying rapid economic growth experiences a significant rise in the external value of its currency within a floating exchange rate system.

Evaluate the possible macroeconomic consequences for an economy of a rise in the exchange rate of its currency.

[25 marks]

6.

The deficit on the UK balance of trade in goods and services rose from £26 billion in 2003 to £44 billion in 2008.

Evaluate government policies which might bring about a reduction in the UK deficit on the balance of trade in goods and services.

[25 marks]



7.

An economy which is enjoying rapid economic growth experiences a significant rise in the external value of its currency within a floating exchange rate system.

Explain the factors which may lead to a rise in the exchange rate of a currency within a floating exchange rate system.

[15 marks]

8.

'While it is necessary to have macroeconomic policy objectives, such as price stability and full employment, they can sometimes prove difficult to reconcile.'

Discuss ways in which government economic policies can be used to try to reconcile conflicts between macroeconomic objectives.

[25 marks]

9.

In November 2011, the UK inflation rate was 4.8%, the rate of unemployment was 8.3%, while Bank Rate remained at 0.5%.

To what extent are low interest rates appropriate in the UK at a time of high inflation?

[25 marks]

10.

'Oil, as a form of energy, reigns supreme but it has brought significant problems to economies in terms of inflation in particular, and the potential for economic instability in general.'

Explain the main causes of inflation.

[15 marks]

11.

'For a strong recovery there is a need to encourage spending, ideally by businesses but also by households in the short term.'

Discuss the importance of low interest rates in bringing about a recovery from recession in an economy such as the UK.

[25 marks]

12.

UK exports of goods which, in 2002, were valued at £187 billion, had risen to £228 billion in 2009.

The deficit on the UK balance of trade in goods rose from £48 billion in 2002 to £82 billion in 2009.

Explain **three** possible reasons for growth in the value of an economy's exports of goods.

[15 marks]



13.

Weaknesses in the UK balance of trade in goods persist, with a deficit of £27.6 bn in the third quarter of 2011, compared, for example, to £23.3 bn in the same quarter in 2010.

Explain **three** reasons for a country such as the UK experiencing persistent deficits in the balance of trade in goods.

[15 marks]

14.

'The avoidance of price deflation must always be the major macroeconomic objective.'

Evaluate the view that the avoidance of price deflation should always be the major macroeconomic objective.

[25 marks]

15.

'When the exchange rate of a country's currency causes problems, it may be down to free market forces, but government intervention might be to blame.'

Assess the importance of a floating exchange rate to a country trying to achieve macroeconomic stability.

[25 marks]

16.

The Global Context Extract B (lines 15–16) argues: 'An increasing global inflation problem could have serious consequences for all aspects of UK macroeconomic performance, including the balance of payments and employment.'

Using the data and your economic knowledge, discuss the possible impact on the UK balance of payments of an increasing rate of inflation throughout the global economy.

[25 marks]

17.

'Economic shocks can bring with them significant consequences for macroeconomic performance, as the UK knows only too well.'

Using at least **one example of each**, explain how demand-side and supply-side shocks might harm a country's economic growth.

[15 marks]

18.

Savings often provide the funds for investment. In 1997, the UK saving ratio stood at 13%, at the beginning of the financial crisis in 2007 it was only 5% and by 2014 it had risen slightly to 7%.

Evaluate the likely impact of a fall in the saving ratio on the performance of the UK economy.

[25 marks]

**19.**

The Global Context Extract C (lines 12–13) states that the Quantity Theory of Money ‘predicts a direct relationship between increases in the money supply and increases in the price level’.

Explain the term ‘price level’ **and** analyse how increases in the money supply of an economy may bring about increases in the price level in that economy.

[9 marks]**20.****THE GLOBAL CONTEXT****Extract B: Inflation never quite goes away**

Governments around the world seeking a cure for inflation accept that such a cure may never be achieved. They recognise, therefore, that the next best thing is effective control in order to secure economic stability and sustained economic growth. Even then, past experience suggests that inflation will never be fully under control. Governments recognise that there may be both national and international forces at work which have a bearing on prices. International causes of inflation are inevitably going to be more difficult, or impossible, for a country to control than those whose origins are from within that country. 1

Some economists might argue that a weak global economy can help to suppress inflation but this weakness, if it persists, will have costs in terms of jobs and living standards. In any case, there may still be pessimism about inflation in the long term. As growth strengthens both in emerging and advanced economies, consumer demand, energy costs, primary commodity prices and wage costs are certain to rise. Agricultural commodity prices, for example, have fallen in recent decades but a significant upward trend could occur. Such a trend will be reinforced by the growth of a global population, now over 7 billion. An increasing global inflation problem could have serious consequences for all aspects of UK macroeconomic performance, including the balance of payments and employment. It breeds uncertainty for government, consumers and businesses and raises expectations of future inflation. Because it affects competitiveness and can disrupt trade and investment flows, the impact on both the current and the capital accounts of the balance of payments needs to be assessed. It is also likely that worsening inflation can halt any hesitant recovery. Overall, economic instability can be expected. 10 15 20

Source: news reports, 2012

21. THE GLOBAL CONTEXT

Extract C: Is money the root of all evil in the UK?

In September 2011, UK inflation, as measured by the CPI, was 5.2%. By June 2012, it was down to 2.4%. This fall has resulted from reductions in global energy and food prices, as well as a stronger pound and significant price reductions by retailers. The fear of some economists is that these factors will be of a temporary nature, especially when recovery gets under way nationally and globally, and inflation will prevail once more. 1

Such fears have led these economists to criticise the Bank of England for continuing with its loose monetary policy of low interest rates and quantitative easing. They accept that this policy was pursued in good faith in order to generate economic recovery and prevent deflation, but point to continuing disappointing performance. They fear that the main consequence will be inflation and point to the Bank's own view in its Inflation Report of August 2012 that 'considerable uncertainty surrounds the inflation outlook'. 5

The Quantity Theory of Money is relevant here. It predicts a direct relationship between increases in the money supply and increases in the price level. Increases in the money supply can begin to influence such factors as interest rates and the exchange rate, as well as business and consumer confidence. When the feared impact of increases in the money supply is added to the anticipated global inflationary forces, it is argued that UK inflation will inevitably rise. As for the global economy, rising inflation could also be a major obstacle to any UK economic recovery. 10

Source: news reports, 2012

22. Savings often provide the funds for investment. In 1997, the UK saving ratio stood at 13%, at the beginning of the financial crisis in 2007 it was only 5% and by 2014 it had risen slightly to 7%.

Explain why the saving ratio may fall.

[15 marks]

23. Globalisation and outsourcing of manufacturing provides several potential benefits to economies. However, some countries, such as the UK, continue to suffer persistent trade deficits but are unable to resort to import controls.

Explain how the UK Government could reduce a balance of payments deficit on the current account, other than through the use of import controls.

[15 marks]

24. Since the start of the financial crisis of 2007–2008, the UK, the Eurozone and the USA have adopted quantitative easing (QE) in an attempt to stimulate their economies.

To what extent do you agree that maintaining inflation at the target rate of 2% should be the top priority of UK macroeconomic policy? Justify your answer.

[25 marks]

THE EUROPEAN UNION CONTEXT**Extract E: Sweden's economic fortunes**

Only a few years ago, the Riksbank (the central bank of Sweden) was the envy of the world. The Swedish economy was a star performer early in the global recovery following the 2008 economic crisis. Sweden's economy grew three times faster than the Eurozone's in 2010. Even better, the Riksbank felt confident enough in recovery to start raising interest rates. Its main interest rate reached 2% by July 2011, while rates in most other rich economies stayed nearer to zero. 1

However, some economists argue that, from the beginning, Sweden's interest rate increases looked premature. When the first rate increase came, unemployment stood at 8.2%, while the inflation rate was 1.1%, well below the central bank's target. Concerns about financial stability influenced the decision to maintain higher interest rates, even though economic conditions deteriorated. The Riksbank was worried that rising household borrowing and soaring house prices could lead to adverse consequences in the long run. Yet the strategy did not go as planned and no doubt contributed to deflation in 2013. 5

Unemployment in Sweden has remained high and private sector debt as a share of GDP is higher now than it was in 2010 but, at the same time, house prices have continued to climb. In October 2014, the Riksbank announced it was cutting its main interest rate to zero in an effort to stimulate the economy. 10

However, the effectiveness of the central bank's ability to respond to avoid deflation is a concern because it becomes very difficult to further stimulate domestic demand as real interest rates approach zero. On the other hand, low interest rates contributed to the Swedish currency, the Krona, falling sharply in value, which helped exports and provided some cushion against weak global demand and further deflation. 15

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Source: news reports, 2014